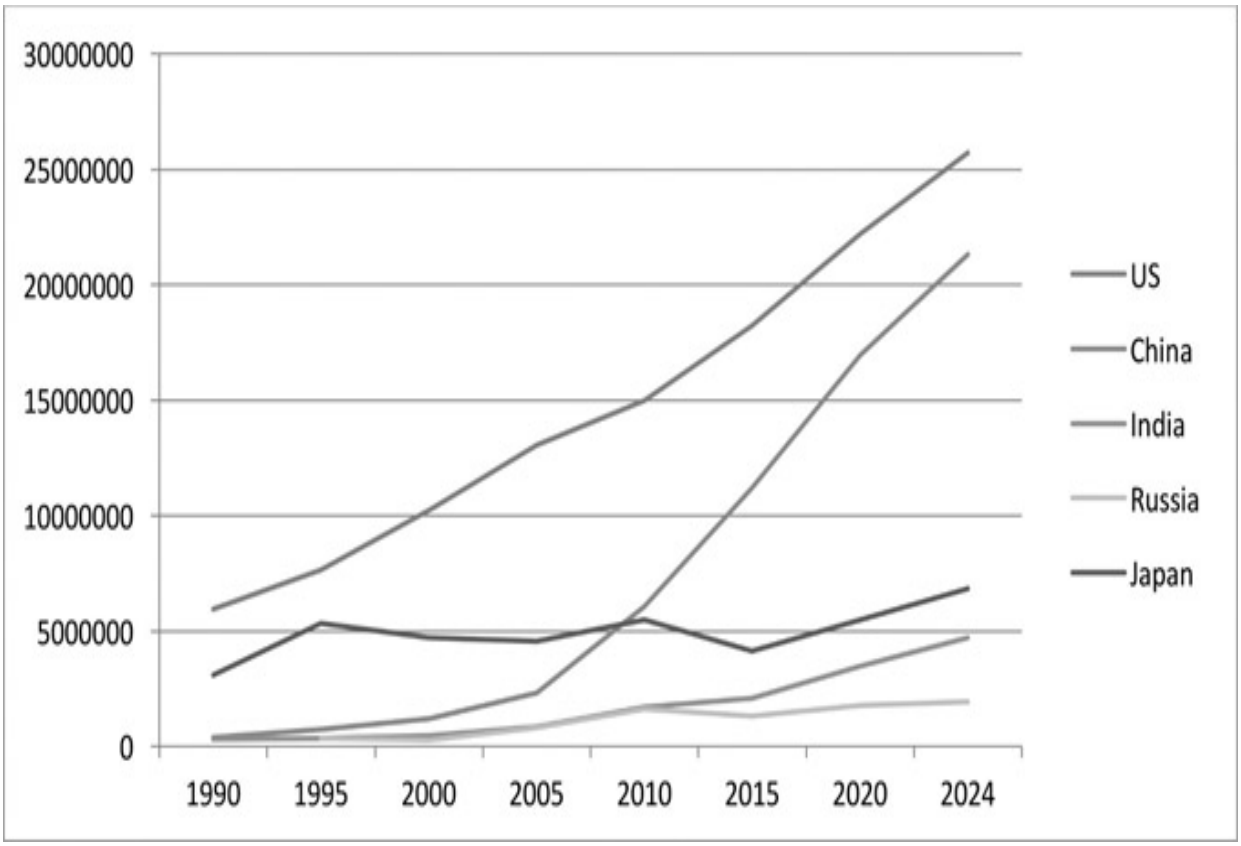


FIGURE 1.2 Global power shift
Source: IMF (2019a). GDP in USD millions, current prices, April 2019.

This dramatic power shift set in motion by China's growth shapes how the United States looks upon Asia. Ever since 1776, the grand strategy of the United States has been to seek a balance of power in its transoceanic flanking regions, and only when a great power threatened to achieve hegemony in Europe and/or East Asia did the United States perceives a grave threat, as from Japan and Germany during World War II.[11] For now, China is perceived as the only country able to challenge the United States.[12] Moreover, if China's neighbours, and in particular the major powers India, Japan, and Russia, are no longer able to balance China by themselves, this increases the incentive for the United States to maintain its forward posture in Asia and engage with the major powers on China's frontiers. Against this background, seen from Washington, the role of India in Asian security